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Question ID: 1587896

Lurry Corporation executives are considering the purchase of a factory that produces after-market parts for classic cars. The purchase price is \$38 million. They have estimated the after-tax cash flows from operating the factory to be \$3 million at the end of Year 1, \$4 million at the end of Years 2 and 3, and \$5 million at the end of Years 4 and 5. After five years, they expect to be able to sell the factory for \$40 million. Based on the company's 9.5% estimate of its weighted average cost of capital, the net present value (NPV) for the factory is:

☐ **A)** \$0.98 million.

☐ **B)** \$3.18 million.

☐ **C)** \$4.12 million.

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Question ID: 1587863

Using a money-weighted return to evaluate an investment manager's performance is appropriate if the manager:

- ☐ **A)** controls the cash flows into and out of the portfolio.
- ☐ **B)** holds investments denominated in multiple currencies.
- ☐ **C)** actively trades with an average holding period less than one year.

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Question ID: 1587864

An investor holds a bond that matures one year from today. When the bond matures, he will take the proceeds and purchase 1,000 shares of XYZ stock. If he assumes constant dividend growth, which of the following values will he need to estimate to determine the intrinsic value of the stock upon purchase?

- ☐ **A)** The value of the bond on the maturity date.
- ☐ **B)** The dividend expected to be paid two years from today.
- ☐ **C)** A required return that must be less than the growth rate.

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Question ID: 1587887

The one-year interest rate in Minova (MNO) is 6% and the one-year interest rate in Piquar (PQR) is 8%. If the spot MNO/PQR exchange rate is 3.4500, the no-arbitrage one-year forward rate is *closest* to:

☐ A) 3.3860.

☐ B) 3.5150.

☐ C) 3.6440.

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Question ID: 1587868

Raymond Green has created a pricing model for estimating future returns on high volume, large capitalization stocks. To keep the model relatively simple, Green has assumed that all returns are both identically and independently distributed. The assumptions of Green's model implies that:

- ☐ **A)** stationarity is not factored into the model.
- ☐ **B)** previous returns are helpful in forecasting future returns.
- ☐ **C)** the mean and variance of returns are constant over time.

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Question ID: 1587871

Using a sample size of 58, an analyst determines that a sample correlation coefficient for two random variables is 0.21. The hypothesis at a 10% significance level is that the population coefficient is equal to zero. If the test statistic is 1.571 and the critical value is 1.6725, the analyst should:

- ☐ **A)** fail to reject the null hypothesis.
- ☐ **B)** reject the null hypothesis and determine the populations are correlated.
- ☐ **C)** reject the null hypothesis and determine the populations are not correlated.

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Question ID: 1587874

A data scientist who is engaging in curation is *most likely*:

- ☐ **A)** collecting data.
- ☐ **B)** archiving and accessing data.
- ☐ **C)** adjusting for bad or missing data.

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Question ID: 1587877

In the first two quarters of the calendar year, the GDP growth rate was -0.5% and -0.8% . In the most recently completed third quarter, the GDP growth rate was 1.5% . During that same third quarter, the inflation rate decreased from 6.3% to 5.5% while unemployment remained high but relatively stable. The business cycle phase during the third quarter is *best* characterized as a:

☐ A) peak.

☐ B) trough.

☐ C) contraction.

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Question ID: 1587878

An approaching peak in a business cycle is *most likely* indicated by an increasing:

☐ A) GDP growth rate.

☐ B) unemployment rate.

☐ C) inventory/sales ratio.

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Question ID: 1587879

A government's budget deficit increases as a result of its legislature enacting an increase in spending. This action may be classified as a tool of:

- ☐ **A)** fiscal policy only.
- ☐ **B)** monetary policy only.
- ☐ **C)** either fiscal or monetary policy.

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Question ID: 1587881

Due to a series of interest rate increases over the last couple of years designed to slow inflation, a country's economy has moved into a recession. The country's central bank has begun to take steps to reverse that trend through monetary policy tools. Which of the following is *most likely* to result from the central bank's recent measures?

- ☐ **A)** An increase in the policy rate.
- ☐ **B)** Appreciation of the domestic currency.
- ☐ **C)** A decrease in short and long-term interest rates.

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Question ID: 1587884

Three countries enter into a regional trading agreement under which they establish an agreed-upon economic policy and adopt a single currency. This type of agreement is *best* described as a(n):

☐ **A)** customs union.

☐ **B)** economic union.

☐ **C)** monetary union.

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Question ID: 1587885

In a foreign exchange transaction, the "buy side" refers:

- ☐ **A)** only to the party acquiring the base currency.
- ☐ **B)** only to the party acquiring the price currency.
- ☐ **C)** to both the party acquiring the base currency and the party acquiring the price currency.

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Question ID: 1587889

Investors who are concerned about potential exposure to an entity's liabilities should *least* appropriately participate in:

- ☐ **A)** limited partnerships.
- ☐ **B)** general partnerships.
- ☐ **C)** ownership of publicly traded equities.

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Question ID: 1587890

In jurisdictions where double taxation of dividends occurs, shareholders' effective tax rate on dividends is:

- ☐ **A)** unrelated to a company's dividend payout ratio.
- ☐ **B)** less, the higher a company's dividend payout ratio.
- ☐ **C)** greater, the higher a company's dividend payout ratio.

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Question ID: 1587891

Which of the following statements about the differences between debt and equity investments is *most* accurate?

- ☐ **A)** While equity holders can lose their entire investment, debtholders are protected from losing their principal.
- ☐ **B)** Debt carries more risk than equity, which makes it costlier for the issuing entity to issue debt.
- ☐ **C)** The upside potential for equity is greater because debtholders will not receive more than their interest and principal payments.

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Question ID: 1587892

A principal-agent conflict *most likely* exists when a company's managers:

- ☐ **A)** issue debt and use the proceeds to fund an increase in common dividends.
- ☐ **B)** pursue unnecessary acquisitions because their compensation is based on the size of the company.
- ☐ **C)** have effective control of the company because they hold shares with greater voting rights than other shareholders.

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Question ID: 1587893

A company's Board of Directors is *most likely* to assign responsibility for assessing the company's internal controls to the:

☐ **A)** audit committee.

☐ **B)** governance committee.

☐ **C)** remuneration committee.

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Question ID: 1587894

An analyst has discovered that over the last three years, Gathers Company has experienced a decrease in its net operating cycle, while over the same time period the average net operating cycle for the industry (excluding Gathers) has increased. These trends *most likely* indicate that:

- ☐ **A)** Gathers has decreased its liquidity position by increasing the amount of time inventory spends in its warehouses.
- ☐ **B)** Gathers has increased its liquidity position by increasing the speed of cash collection from its customers.
- ☐ **C)** the industry has decreased its liquidity position by increasing the average amount of time to pay suppliers.

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Question ID: 1587895

A company with a more conservative approach to liquidity management relative to its peers is *most likely* to have higher:

- ☐ A) profitability.
- ☐ B) current assets as a percentage of total assets.
- ☐ C) short-term debt as a percentage of total debt.

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Question ID: 1587897

QuarryCo is determining whether to expand its current production capacity. A feasibility study completed one year ago indicates that the rock in the new quarry site is of sufficient quality. The project would require an increase in working capital and the use of an empty factory owned by the company. Several existing customers would be expected to purchase materials from the new quarry due to its closer proximity. In evaluating the expansion project, QuarryCo should *least appropriately* consider:

- ☐ **A)** cash expended to perform the feasibility study.
- ☐ **B)** the increase in working capital required to support the project.
- ☐ **C)** the effects of customers who will switch purchases to the new quarry.

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Question ID: 1587898

Project 1 has a positive NPV. Project 2 is identical to Project 1, except that Project 2 can be delayed by a year if market conditions are unfavorable. An analyst should most likely consider Project 2 to have:

- ☐ **A)** less value than Project 1.
- ☐ **B)** the same value as Project 1.
- ☐ **C)** greater value than Project 1.

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Question ID: 1587899

The following information refers to a company's capital structure and a marginal tax rate of 40%:

Type of Capital	Weight in Capital Structure	Before-Tax Component Cost
Bonds	40%	7.5%
Preferred stock	5%	11%
Common stock	55%	15%

The company's weighted average cost of capital is *closest* to:

☐ A) 10.0%.

☐ B) 10.6%.

☐ C) 11.8%.

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Question ID: 1587900

Which set of assumptions is *most likely* consistent with a company's optimal capital structure being 100% debt?

- ☐ **A)** No taxes and no costs of financial distress exist.
- ☐ **B)** No costs of financial distress exist, but taxes do exist.
- ☐ **C)** Both taxes and costs of financial distress exist.

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Question ID: 1587901

Which of the following recommendations *most likely* represents an element of a company's channel strategy?

- ☐ **A)** The ideal customers are ages 18 – 30 in the western United States.
- ☐ **B)** Focus the sales of products through online and direct mail distribution mechanisms.
- ☐ **C)** Given the competition and the breadth of substitute products, value-based pricing should work well.

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Question ID: 1587865

Returns data for Limbo Company exhibit the following statistics:

Mean 9.5%

Median 14.3%

Excess Kurtosis -0.97

The returns distribution for Limbo Company is:

☐ **A)** positively skewed.

☐ **B)** negatively skewed.

☐ **C)** not skewed.

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Question ID: 1587866

Cheryl Smith, CFA, is comparing dividend changes for energy and non-energy companies. Smith determines that 15% of the stock market universe consists of energy companies. Smith also determines that the probability that an energy company will increase its dividend is 90% and the probability that a non-energy company will increase its dividend is 30%. If Smith randomly selects one company from the universe of stocks and notices that the company declared a dividend increase, the probability that the company Smith selected is an energy company is *closest* to:

☐ A) 5%.

☐ B) 15%.

☐ C) 35%.

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Question ID: 1587867

Given the information in the table for Portfolios A, B, and C, and a target return of 3%, which portfolio has the lowest shortfall risk?

Portfolio	A	B	C
Expected Return	13%	9%	15%
Standard Deviation	5.1%	3.6%	7.2%

☐ A) Portfolio A.

☐ B) Portfolio B.

☐ C) Portfolio C.

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Question ID: 1587869

According to the Central Limit Theorem:

- ☐ **A)** the distribution of sample means will be approximately normally distributed only if the population is normally distributed and continuous.
- ☐ **B)** inferences about the population mean can be made from the sample mean, as long as the sample size is sufficiently large.
- ☐ **C)** the sample mean will have a standard deviation equal to the population standard deviation divided by the sample size.

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Question ID: 1587870

George Hutchins, CFA, would like to perform a paired comparisons test on returns for the stocks of two real estate investment trusts. The test statistic that Hutchins should select for the paired comparisons test is the:

- ☐ **A)** t -statistic.
- ☐ **B)** F -statistic.
- ☐ **C)** Chi-square statistic.

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Question ID: 1587872

In a simple linear regression, the regression line minimizes the:

- ☐ **A)** total sum of squares.
- ☐ **B)** sum of squared errors.
- ☐ **C)** regression sum of squares.

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Question ID: 1587873

For which functional form of a linear regression is the slope coefficient interpreted as the absolute change in the dependent variable for a relative change in the independent variable?

☐ **A)** Lin-log model.

☐ **B)** Log-lin model.

☐ **C)** Log-log model.

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Question ID: 1587875

A firm under perfect competition finds that the market price of its product is below the firm's average total cost but above its average variable cost. If these conditions persist, the firm should:

- ☐ **A)** shut down in the short run and go out of business in the long run.
- ☐ **B)** shut down in the short run but continue operating in the long run.
- ☐ **C)** continue operating in the short run but go out of business in the long run.

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Question ID: 1587876

Assume a cartel is organized among the producers of a commodity and begins practicing collusion. The *most likely* effects on price and output are that:

- ☐ **A)** both will increase.
- ☐ **B)** price will increase and output will decrease.
- ☐ **C)** price will decrease and output will increase.

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Question ID: 1587882

Functions of a central bank *most likely* include:

- ☐ **A)** collecting tax payments.
- ☐ **B)** balancing the national budget.
- ☐ **C)** controlling money supply growth.

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Question ID: 1587880

Tax policy is said to exhibit efficiency if it:

- ☐ **A)** is simple to implement and enforce.
- ☐ **B)** causes minimal interference with market forces.
- ☐ **C)** generates just enough revenues to fund government spending.

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Question ID: 1587883

Promoting stability in exchange rates is among the goals of the:

- ☐ **A)** World Bank.
- ☐ **B)** World Trade Organization.
- ☐ **C)** International Monetary Fund.

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Question ID: 1587888

Assume the exchange rate between the Bucas (BCS) and the Leider (LDR) is 1.70 BCS/LDR, and the exchange rate between the Bucas and the Passoa (PAS) is 3.2 BCS/PAS. The PAS/LDR exchange rate is *closest* to:

☐ **A)** 0.5313 PAS/LDR.

☐ **B)** 1.8824 PAS/LDR.

☐ **C)** 5.4400 PAS/LDR.

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Question ID: 1587886

The type of exchange rate regime under which a country implements a monetary policy that is necessarily limited in scope by market foreign exchange rates is *most accurately* described as:

☐ **A)** dollarization.

☐ **B)** a monetary union.

☐ **C)** a fixed peg arrangement.

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Question ID: 1587902

Information about any conflicts of interest between management, the board of directors, and shareholders can *most likely* be found in the:

☐ **A)** proxy statement.

☐ **B)** footnotes.

☐ **C)** auditor's report.

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Question ID: 1587903

Pollard Construction has a contract with a customer to build a new factory over a period of three years. Total revenues from the project will be \$4 million. Pollard estimates the costs of construction to be \$800,000 in Year 1, \$600,000 in Year 2, and \$1.6 million in Year 3. Pollard expects to bill the customer for \$1 million in Year 1, \$1 million in Year 2, and \$2 million in Year 3. Profit recognized by Pollard in Year 2 of the project is:

☐ **A)** zero.

☐ **B)** \$200,000.

☐ **C)** \$400,000.

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Question ID: 1587904

At the beginning of the year, Weatherford Corporation had 2,000,000 shares of common stock outstanding. In addition, Weatherford had 150,000 stock options outstanding to purchase common shares at \$10 per share. No stock options were exercised during the year. Assuming the average market price of the stock was \$15, how many shares should Weatherford use in computing diluted earnings per share for the year?

☐ **A)** 2,000,000.

☐ **B)** 2,050,000.

☐ **C)** 2,150,000.

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Question ID: 1587905

U.S. GAAP requires unrealized gains and losses on available-for-sale securities to be reported:

- ☐ **A)** in non-operating income.
- ☐ **B)** in a separate section following net income.
- ☐ **C)** as other comprehensive income on the statement of changes in owners' equity.

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Question ID: 1587906

A company's investments in marketable securities include a 3-year tax-exempt bond measured at amortized cost and a 5-year government note measured at fair value through other comprehensive income. On its income statement, the company should report the coupon interest received from:

☐ **A)** both of these securities.

☐ **B)** neither of these securities.

☐ **C)** only one of these securities.

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Question ID: 1587908

Which of the following *most accurately* describes cash flow classification under U.S. GAAP and IFRS?

- ☐ A) Dividends paid are a financing activity under U.S. GAAP and dividends received may be shown as an operating or investing activity under IFRS.
- ☐ B) Dividends received may be shown as an operating or investing activity under U.S. GAAP and dividends paid is a financing activity under IFRS.
- ☐ C) Interest expense is a financing activity under U.S. GAAP and interest received may be shown as an operating or investing activity under IFRS.

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Question ID: 1587909

An accountant with Umble Company is preparing the statement of cash flows. Cash flow from operations is \$210 and cash on the balance sheet increased by \$340. Transactions during the period include:

Capital expenditures \$100

Investment in joint venture \$40

Acquisitions \$80

Dividends from affiliates \$25

Umble's cash flow from financing (CFF) under U.S. GAAP is:

☐ **A)** -\$220.

☐ **B)** +\$195.

☐ **C)** +\$350.

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Question ID: 1587907

Selected year-end values for Argus Inc. are presented in the following tables:

Balance Sheet Items	December 31, 20X1	December 31, 20X2
Accounts Receivable	\$20 million	\$19 million
Trade Payables	\$14 million	\$15 million
Inventory	\$27 million	\$28 million

Income Statement Items	December 31, 20X2
Net Income	\$30 million
Gain on Sale	\$1 million
Depreciation	\$1 million

Based only on the data in the tables, 20X2 cash flow for operations for Argus Inc. is:

☐ A) \$27 million.

☐ B) \$29 million.

☐ **c)** \$31 million.

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Question ID: 1587920

Which of the following ratios can be read directly from a common-size income statement or balance sheet?

☐ **A)** Return on assets.

☐ **B)** Inventory turnover.

☐ **C)** Operating profit margin.

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Question ID: 1587921

At the end of last year, Manhattan Corporation had a quick ratio of 1.2. If Manhattan reduces its accounts payable with a cash payment of \$2 million, its quick ratio will:

☐ **A)** be unchanged.

☐ **B)** increase.

☐ **C)** decrease.

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Question ID: 1587922

An analyst is *most likely* to be concerned about the predictability of a firm's sales if, compared to its industry competitors, the firm has a significantly higher:

- ☐ **A)** standard deviation of sales.
- ☐ **B)** coefficient of variation of sales.
- ☐ **C)** correlation of sales with economic growth.

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Question ID: 1587910

A firm that reports under IFRS wrote down its inventory from cost of \$240,000 to net realizable value of \$210,000. In the next period, cost was unchanged, but net realizable value (NRV) increased to \$250,000. The firm will *most appropriately* report ending inventory for the period as:

☐ **A)** \$210,000.

☐ **B)** \$240,000.

☐ **C)** \$250,000.

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Question ID: 1587911

Compared to capitalizing a purchase, expensing a purchase will result in:

☐ **A)** higher operating cash flow and lower investing cash flow.

☐ **B)** higher operating cash flow and higher investing cash flow.

☐ **C)** lower operating cash flow and higher investing cash flow.

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Question ID: 1587912

The present value of an equity security's future cash flows is *most likely* to be significantly different from the company's:

☐ **A)** book value per share.

☐ **B)** market value per share.

☐ **C)** intrinsic value per share.

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Question ID: 1587913

How is the impact of selling a long-lived asset recorded on a firm's income statement?

- ☐ **A)** The sale proceeds increase revenue and the carrying value increases cost of goods sold.
- ☐ **B)** The difference between the sale proceeds and the carrying value is reported as a gain or loss.
- ☐ **C)** The difference between the sale proceeds and the original value is reported as a gain or loss.

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Question ID: 1587916

A financial analyst should treat deferred tax liabilities (DTLs) as equity if the DTLs are:

- ☐ **A)** due to permanent differences.
- ☐ **B)** expected to increase each period.
- ☐ **C)** expected to decrease each period.

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Question ID: 1587915

Consider a firm that has both deferred tax assets and deferred tax liabilities on its balance sheet. What will be the effect on the deferred tax asset and liability of an increase in the firm's marginal tax rate?

- ☐ **A)** Both will increase.
- ☐ **B)** Both will decrease.
- ☐ **C)** One will increase and one will decrease.

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Question ID: 1587917

Manitou Plastics, Inc., has been recording large deferred tax assets after incurring operating losses in the previous three years. At the end of the most recent year, Manitou reported \$14 million in deferred tax assets but only \$3 million in deferred tax liabilities. Manitou has also reported a valuation allowance related to deferred taxes in the amount of \$7.5 million. What is the *most likely* cause of Manitou's reported valuation allowance?

☐ **A)** Accounting earnings have been manipulated.

☐ **B)** Future profitability is in doubt.

☐ **C)** Interest rates have increased.

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Question ID: 1587914

For a lessor, how are lease payments treated on the cash flow statement?

- ☐ **A)** The entire lease payment is an investing cash inflow.
- ☐ **B)** The entire lease payment is an operating cash inflow.
- ☐ **C)** The principal portion is an investing cash inflow, and the interest portion is an operating cash inflow.

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Question ID: 1587918

Which of the following choices about accounting for property, plant, and equipment are *most likely* to reflect a conservative bias?

☐ **A)** Accelerated depreciation, longer useful lives, and lower salvage values.

☐ **B)** Straight-line depreciation, longer useful lives, and higher salvage values.

☐ **C)** Accelerated depreciation, shorter useful lives, and lower salvage values.

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Question ID: 1587919

Other things equal, what impact will increasing days sales in payables have on operating cash flow?

☐ **A)** No impact.

☐ **B)** Lower operating cash flow.

☐ **C)** Higher operating cash flow.

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Question ID: 1587982

If an investment ends the week above where it started the week, the investor will gain \$3,000. If the investment ends the week at or below where it started the week, the investor will earn \$0. The investment has a 60 percent probability of ending the week higher. With regard to this opportunity:

- ☐ **A)** a risk-averse investor will prefer a certain payment of \$1,800 to this investment.
- ☐ **B)** a risk-neutral investor will prefer this investment to a certain payment of \$1,800.
- ☐ **C)** a risk-seeking investor will be indifferent between a certain payment of \$1,800 or this investment.

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Question ID: 1587983

A portfolio is 45% invested in stocks that have a standard deviation of returns of 27%, and 55% invested in bonds that have a standard deviation of returns of 14%. The covariance of stock and bond returns is 0.02. The standard deviation of the portfolio returns is *closest* to:

☐ A) 3.0%.

☐ B) 14.5%.

☐ C) 17.5%.

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Question ID: 1587984

Historically, returns on major asset classes have exhibited:

- ☐ **A)** positive skewness and negative excess kurtosis.
- ☐ **B)** negative skewness and positive excess kurtosis.
- ☐ **C)** negative skewness and negative excess kurtosis.

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Question ID: 1587985

The curve representing the set of portfolios that has the highest expected return for a given level of risk is the:

☐ **A)** utility curve.

☐ **B)** efficient frontier.

☐ **C)** indifference curve.

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Question ID: 1587986

Which of the following statements about the capital market line (CML) is *most accurate*?

☐ A) Only risky portfolios plot on the CML.

☐ B) Only efficient portfolios plot on the CML.

☐ C) In equilibrium, all portfolios plot on the CML.

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Question ID: 1587987

Based on the advice of his financial advisor, an investor sells a stock that makes up a large portion of his portfolio and reinvests those funds into 20 unique stocks with relatively low and negative correlations of returns. These actions will have the *most* direct impact on which component of portfolio risk?

☐ A) Market risk.

☐ B) Systematic risk.

☐ C) Nonsystematic risk.

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Question ID: 1587988

Carla Duckett develops a return generating model that estimates expected returns on stocks based on their factor sensitivities to long-term interest rates and the growth rate of operating cash flow. Duckett's model is *best* described as using:

☐ **A)** statistical and fundamental factors.

☐ **B)** macroeconomic and statistical factors.

☐ **C)** fundamental and macroeconomic factors.

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Question ID: 1587989

Two stocks, Shaw Inc., and Melon Inc., have identical total risk. The Shaw stock risk is composed of 60% systematic risk and 40% unsystematic risk, while the Melon stock risk is composed of 40% systematic risk and 60% unsystematic risk. In equilibrium, according to capital market theory, Shaw has:

☐ **A)** a higher expected return than Melon.

☐ **B)** a lower expected return than Melon.

☐ **C)** the same expected return as Melon.